

2) What are international financial markets?

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3) Explain the concept of international financial instruments.

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11.4 TYPES OF INTERNATIONAL FINANCIAL MARKETS

The international financial markets have primary and secondary markets dealing with issue of new instruments and trading in existing instruments and negotiable debt instruments, respectively. International financial markets can develop anywhere, provided the local regulations permit the market and that the potential users are attracted to it. The most important international financial centres are London, Tokyo and New York.

Volume of Foreign Exchange Market: According to the Bank for International Settlements (BIS), trading in foreign exchange markets averaged \$6.6 trillion per day in April 2019. This is composed of the following:

- i) \$2 trillion in spot transactions
- ii) \$1 trillion in outright forwards
- iii) \$3.2 trillion in foreign exchange swaps
- iv) \$108 billion currency swaps
- v) \$294 billion in options and other products

Source: Investor Tonight (2021)

There are different types of financial markets. However, market are classified according to the nature of financial operations:

- i) money markets (or exchange markets): exchange or exchange related transactions,
- ii) credit markets : deposit taking and lending,
- iii) capital markets : issuance of securities, and
- iv) equity markets : issuance of international equities.

A brief description of these markets is as under:

International Currency Market: The main participants in international financial markets are commercial banks, pension funds, hedge funds and private equity funds. An important aspect of growth has been the emergence of international

banking consortia. Since the 1960s various banks started forming international syndicates. Multinational banks are participating in huge transfers of capital not only for investment purposes but also for hedging and speculating against exchange rate changes.

Euro Currency Market: The transactions in Eurodollar, Euroyen, Eurofranc etc. are known as 'Euro Currencies Markets'. This market allows for more convenient borrowing, which improves the international flow of capital for trade and investment between countries and companies. For example, an Indian company borrowing U.S. dollars from a bank in Germany is using the Euro market. The Euro market is a wholesale market (generally restricted to transactions over US \$ 1 million), with participants limited to banks, financial institutions, institutional investors, major corporates and high net worth individuals.

The prefix 'Euro' creates some confusion because it denotes a currency used for financial transactions outside the country of origin of that currency. As for example, if US dollar is called Eurodollar, it means financial assets and liabilities (denominated in dollars) but traded outside the United States. Similarly, Japanese yen traded out of Japan is called Euroyen, and Swiss francs traded out of Switzerland is called Eurofranc. But after launching of the 'Euro' in 2000 as the official currency of European Union, Eurocurrency market is the market in the currency of the Euroland. Further, it is known as Eurodollar, Euroyen, Eurofrancs etc. depending on which particular currency is used for financial transaction outside the country of the origin of that currency.

Euro currency markets consist of banks (Euro banks) that offer wholesale deposits and loans in various currencies. Euro banks are commercial banks dealing in Euro markets. Euro banks are financial intermediaries that simultaneously bid for deposits and make loans in a currency or currencies, other than that of the country in which they are located. Operations of Euro markets have spread over Asia, Europe and the United States.

Euro currency markets facilitate hedging possibilities for corporate borrowers. Euro market is very deep in the short-term market, where 3-6 months deposits are most popular. The basic structure in Euro market operations has been medium to long term lending on variable (floating) interest rates, with an option to re-set (roll over), the interest rate periodically at 3 or 6 months. The banks take into consideration borrowers requirements and have devised various instruments for preferred maturity.

London Inter-bank Bid Rate (LIBID): This is the rate bid by banks on Eurocurrency deposits.

London Inter-bank Offer Rate (LIBOR): This is the rate of interest at which banks borrow funds, in marketable size, from other banks in the London inter-bank market. This is the most widely used benchmark or reference rate for short-term interest rates. A large volume of Eurodollar lending involves the London

Interbank Offered Rate. The LIBOR rate measures the cost to a bank of raising new funds from the market to re-lend. This is the basis of almost all variable (or floating) rate lending in the Euro markets.

When two top-rated banks arrange an interbank transaction, the interest rate agreed for a loan and deposit will often be somewhere between the LIBOR and the LIBID, and possibly the average of these two rates, referred to as LIMEAN as a reference rate for their interbank transactions. The LIBOR convention has spread in various variations. In all cases the concept attempts to measure a bank's cost for a loan.

11.5 IMPORTANCE OF INTERNATIONAL FINANCIAL MARKETS AND INSTRUMENTS

Operations in financial markets have become highly globalized and their importance in contemporary world is evident from the following:

- i) *Maintaining stability in international financial markets is not easy as it has become very intricate.* With easy movement of funds from one country to another, the prices of financial instruments have become highly volatile. Exchange rates, prices of bond and securities are affected by different kind of “news” which make expectations very precarious. Exchange rates and securities prices interact with each other. The degree of interaction differs from one situation to another, depending on a variety of circumstances.
- ii) The information revolution has completely changed economic, financial, and political conditions around the world because of a constant flow of news which result in investors making abrupt changes in their holdings. This has brought larger swings making the market vulnerable both in the short and medium term in a world of integrated financial markets and enormous worldwide liquidity.
- iii) Exchange rates are in a constant flux. Transactions have become increasingly complex.
- iv) International financial markets are very well integrated now as there is no exchange control which makes freer movement of capital across countries.
- v) Cross-listing of securities in several countries.
- vi) Cross-country hedging and portfolio diversification.
- vii) 24-hour trading in financial instruments at exchanges around the world. Automated trading execution systems provide a 24-hour trading market, allowing traders to enter buy and sell orders that are automatically matched according to price and time preferences.
- viii) A shift from banks to nonbank financial intermediaries, such as brokerage houses, securities firms, insurance companies, and pension funds. In such a competitive environment, banking activities have also significantly changed.

- ix) A shift from loans to securities and a rise in the use of foreign financial centers. Surge in the use of new financial instruments such as derivative products: options, futures, and swaps on interest rates, foreign currencies, stocks, bonds, and commodities.

Multinational corporations (MNCs) which operate on a global scale need worldwide sources of finance to meet their investment needs. To serve MNCs, financial institutions have diversified their services such as transactions in foreign exchange, money market instruments, and derivative products worldwide. These sophisticated financial instruments provide investors an array of alternatives for hedging and shifting risks, leading to greater certainty of international receipts and payments. Of course, all these services entail costs. Given the contemporary environment of volatile exchange rates, interest rates, and commodity prices, a large market of different financial instruments exist to help international businesses, speculators, and investors. The growth of new financial instruments has provided flexibility to portfolio management operations. As such, the growth of international financial markets has facilitated cross-country flows which contribute to a more efficient allocation of resources.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Enlist different types of international financial markets?

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- 2) Who are the players in the international financial market?

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- 3) Highlight the importance of international financial markets and instruments.

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11.6 INSTRUMENTS OF INTERNATIONAL FINANCIAL MARKETS

Funds are raised from the international financial market through the sale of securities, such as international equities or Euro equities, Euro bonds, medium-term and short-term Euro notes and Euro commercial papers. In international financial markets all kinds of instruments are denominated in foreign currencies. While the choice of raising finance through various instruments is large

comprising loans, Euro notes and bond, all markets may not be accessible to all borrowers. We will discuss the derivatives at length. First, let us understand a little about Foreign Exchange Markets.

11.6.1 Financial Instruments

Euro is the currency of Euro land and transaction in the Euro currency are known as Euro currency market. These markets thrive as they are outside the control of any central bank. Consequently, Euro banks can offer higher yields to depositors and fixed rates to borrower which makes Euro markets attractive. The important instruments that are used to raise finance are Euro notes, Euro-commercial papers, Medium-term Notes, Floating Rate Notes, Euro bonds and Euro-equities.

Similar to domestic financial markets, international financial markets may be divided into money and capital markets. Money markets deal with assets created or traded with relatively short maturity. The maturity periods of different instruments range from one day to one year. Such instruments are very liquid and relatively risk free. Internationally traded instruments of borrowing and lending of funds of short-term nature are:

- i) treasury bills,
- ii) bank certificates of deposits,
- iii) commercial paper,
- iv) bankers' acceptances,
- v) repurchase agreements, and
- vi) other short-term asset-backed claims.

From the liquidity angle this market is important for MNC's operations as they get fund on day-to-day basis. Treasury bills make up the bulk of the money market instruments. The Capital markets deal with instruments whose maturity exceeds one year.

Derivative Instruments: These financial instruments have values determined from underlying assets, such as resources, currency, bonds, stocks, and stock indexes. These products are very popular and the value of derivative instruments depends on other, more basic, underlying variables. These instruments have been developed to meet the needs and preferences of different customers, including their desire to hedge risks in an environment of fluctuating exchange rates, interest rates, stock prices, and commodity prices. Most of the derivatives except the interest rate swaps are short term in nature.

Options and futures are widespread and traded actively. The five most common examples of derivatives instruments are synthetic agreements, forwards, futures, options, and swaps. Financial institutions, banks and their corporate clients regularly trade in forward contracts, swaps and different types of options outside

exchanges also known as over-the-counter markets. This highlights the fact that there is no single marketplace or an organized exchange for this.

Spot purchase and sale transactions; The spot foreign exchange purchase refers to the business where the designated outlet buys foreign exchange from institutional customers based on the spot exchange rate in the foreign exchange purchase and sale market.

Forward Foreign Exchange Purchase and Sale: The forward foreign exchange purchase and sale refers to the business where the customer signs a forward foreign exchange purchase and sale agreement with the Bank, specifying the foreign exchange currency, amount, terms and exchange rate of a future foreign exchange purchase/sale transaction. This is put in place in order to handle the foreign exchange purchase and sale of the currency. The amount and exchange rate are specified in the agreement at the time provided in the contract. This product enables the customer to preserve the asset value and avoid exchange rate risks by locking up the future exchange rate at present (i.e., the future cost or gains).

The forward rate is based on the prevailing spot rate plus (or minus) a premium (or discount) that is determined by the interest rate differential on comparable securities between the two countries involved. For example, if interest rates in Switzerland are higher than those of the United States, the Swiss franc shows a forward discount, which means the forward rate is less than the spot rate. Conversely, when Switzerland's interest rates are lower than those of the United States, the Swiss franc shows a forward premium, which means the forward rate is higher than the spot rate.

Call Option Vs Put Option: A call option gives its holder the right but not the obligation, to buy the specified amount or quantity of a currency usually against the U.S.A at the strike price. On the other hand, a put option gives its holder the right to U.S.A.

Future: A future is a derivative transaction that exchanges derivatives on a determined future date at a predetermined exchange rate.

Interest Rate Swap: An interest rate swap is a derivative agreement between two parties that involves swapping interest rates where each party agrees to pay other interest rates on their loans in different currencies.

Certificate of Deposit (CD): This is a savings certificate generally issued by commercial banks on which the bearer gets interest. A CD indicates three things (i) a maturity date, (ii) a specified interest rate, and (iii) amount. The amount of CD is not fixed and can be issued in any denomination.

Banker's Acceptance: This is a short-term credit instruments created by a non-financial firm and guaranteed by a bank. The important feature of such acceptance is that it is traded at a discount from face value on the secondary market.

11.6.2 International Debt Instruments

Borrowers are the issuers of debt instruments in the form of Promissory Notes, Bonds and Commercial Papers. There are various classes of borrowers (e.g. companies, governments and other entities) having diversified needs for funds in terms of:

- i) Magnitude of amounts.
- ii) The period for which borrowings are needed. Borrowers may need short term or long term funds for capital expenditure. Governments are known as sovereign borrowers who raise long-term debt in the international market to finance infrastructure and other developmental needs, etc.
- iii) The currency in which borrowings are to be raised.
- iv) The decision for debt finance depends on the costs, borrowing terms and covenants imposed by lenders, project size, etc.

Let us now examine some common debt instruments used for short, medium and long term.

Euro commercial Paper: This is an unsecured, short-term paper issued by a bank or corporation for financing accounts receivables and inventories in the international money market, denominated in a currency other than the corporation's domestic currency. It is usually issued at a discount reflecting prevailing market interest rates. Normally, commercial papers have a maximum maturity of 270 days. The most prominent markets for commercial paper are the United States, Canada, UK, Japan and Australia. Euro market prominence for US \$ and Euro commercial paper are more popular in Singapore and the UK.

Commercial Paper (CP) is marketed either directly by the issuer or through a dealer i.e. investment bank. A large majority of issuers market their CP directly. In the case of dealer-placed CP, the issuers use the services of a securities firm or an investment bank. CPs sold in this way is called dealer paper. Competitive pressures have forced reductions in the fee charged by dealers. CPs are issued at a discount. In other words, if an investor buys a CP with face value of US\$ 1 million, he pays less than the face value, though he receives back on maturity the total face value. The difference between the two represents 'interest'. The difference between the purchase price and the redemption amount makes up the return to an investor.

Bonds: Supranational agencies like the World Bank and Asian Development Bank raise bonds in the international market. National Governments issue government bonds. Municipal or other local authorities issue municipal bonds, while companies issue corporate bonds. Bonds do not have one common interest rate. Rates differ in terms of fixed-rate, floating-rate and convertible bonds. The World Bank issued the global bonds for the first time in 1989. Since 1992, such bonds are being issued also by companies. Presently, there are seven currencies

in which such bonds are denominated: the Australian dollar, Canadian dollar, Japanese yen, DM, Finnish markka, Swedish krona and Euro. The special features of the global bonds are:

- i) They carry high ratings
- ii) They are normally large in size
- iii) They are offered for simultaneous placement in different countries
- iv) They are traded on “home market” basis in different regions.

International bond market is defined as a market for bonds which are sold anywhere in the world but not in the geographical territory of the country of currency in which it is denominated. Mostly the funds raised by the borrowers in such market consist of foreign currencies i.e., other than the borrowers own currency for example, a U.S. company borrowing Euro – Dollars, outside U.S.

The bonds are generally denominated in amounts of US \$ 100,000, \$ 500,000 or more. These are debt securities, normally having a maturity period of one to 10 years. The ‘notes’ mature in less than one year and bonds have maturity up to 10 years. *It is to be noted that often the terms ‘notes’ and ‘bonds’ are used interchangeably.*

Equity financing in the International Markets: Compared to debt financing instruments, issuance of Euro equities stands out as a distinct source of raising finance. Through equity issues, the issuing company offers ownership rights as distinguished from creditorship rights in the form of debt. In recent times there has been increase in cross border equity investment. This global trend is evident from the behaviour of institutional investors of developed countries’ markets, increasing their exposure to equity from emerging markets. Shares of these overseas firms are often traded in stock exchanges like New York and London. The *modus operandi* is that such shares of overseas firms are traded indirectly in the form of ‘depository receipts’. A depository holds the shares issued by the firm in the form of ‘depository receipts’.

Indian companies have been raising finance through Euro-Bonds and Euro-Equities and have been floating ADR and GDR. In the case of US markets, this type of issue is known as ‘American Depository Receipts (ADRs), while Global Depository Receipts (GDRs) is an instrument to raise equity capital in multiple markets outside the issuer’s domestic market through one security - which is traded in a foreign stock market.

11.7 FOREIGN EXCHANGE EXPOSURE/RISK

It is very common to encounter currency exchange rate movements regularly. These unanticipated shifts present risks to the international business because they represent unplanned for changes in the value of asset and liabilities. These risks are usually categorised into three types: transactions exposure, translation

exposure and economic exposure. These exposures result in positions that are either uncovered or covered, that is, hedged. Risk exposures should be determined according to several possible degrees of severity of circumstances. These risks depend on the nature of the item that is exposed, measurability of the exposure and the timing of estimation of exposure. Let us understand various types of risks:

- i) *Transaction risk* arises from foreign currency denominated transactions which an entity is committed to complete. In other words, it arises from contractual foreign currency, future cash flows, when export prices are fixed in foreign currency, or imports invoiced in foreign currencies. The exposure is due to currency exchange rate fluctuations between the time the commitment is made and the time it is payable. There are approaches to dealing with eliminating the risk of a transaction exposure or hedging at the operations level.
- ii) *Translation Risk*: Translation Exposure is concerned with the present measurement of past events. It arises from the need to convert values of assets and liabilities denominated in a foreign currency into the domestic currency. Suppose a company has a different proportion of assets and liabilities denominated in particular currencies. In that case, exchange rate movements are likely to have varying effects on the value of these assets and liabilities. It is also referred to as accounting exposure. This fact makes the measurement of translation exposure dependent on the accounting policies followed for the purpose of converting the foreign currency values of assets and liabilities into the domestic currency.

“For reducing translation and transaction exposure, a number of tactics can help firms minimize their transaction and translation exposure. These tactics primarily protect short-term cash flows from adverse changes in exchange rates. In addition to buying forward and using swaps, firms can minimize their foreign exchange exposure by leading and lagging payables and receivables – paying suppliers and collecting payment from customers early or late depending on expected exchange rate movements. A lead strategy involves attempting to collect foreign currency receivables (payments from customers) early when a foreign currency is expected to depreciate and paying foreign currency payables (to suppliers) before they are due when a currency is expected to appreciate. A lag strategy involves delaying collection of foreign currency receivables if that currency is expected to appreciate and delaying payables if the currency is expected to depreciate. Leading and lagging involves accelerating payments from weak-currency to strong-currency countries and delaying inflows from strong-currency to weak-currency countries”(Hill and Jain, 2009).

- iii) *Economic Risk*: Economic risk is referred to as the risk exposure of an investment made in a foreign country due to changes in the business

conditions or adverse effect of macroeconomic factors like government policies or collapse of the current government and significant swing in the exchange rates (Ramachandran and Vaidya, n d). Many factors can cause economic risk like sovereign default on its payments, political unrest and change in the policies made by the government, and unexpected swings in exchange rate. Change in inflation, interest rates, import-export duties, and taxes also impact the exchange rate. Since this directly impacts trade, exchange rates risk seeming to be a significant economic risk.

Economic exposure is concerned with the long-run effect of changes in exchange rates on future prices, sales and costs. This is distinct from transaction exposure, which is concerned with the effect of exchange rate changes on the individual transactions, cost of which are short-term affairs that will be executed within a few weeks or months.

Although economic risk can be mitigated, it cannot be eliminated entirely. Economic risk is the most intricate risk to foresee, and hence mitigating or formulating plans to control the risk is a challenging task. The management of economic exposure draws on hedging and swap contracts. Hedging activities against exchange rate fluctuation will prove worthwhile to mitigate the risk.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What are the different types of international financial market instruments?

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2) What do you understand by the Euro – Currency market?

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3) What is Global Depository Receipt (GDR)?

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4) Explain the concept of financial risk.

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5) What are the types of financial risk?

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